



Dhaka International University

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Contract: Basic Elements and Breach

Introduction

Contract law is one of the fundamental building blocks in the legal system governing the relationship between individuals, organizations, and entities. In Bangladesh, contracts are governed by the Contract Act, 1872, which was inherited from British India and is based on the principles of English Common Law. This paper discusses the basic elements of a contract, classification, capacity of parties, and remedies upon breach.

Meaning, Nature, and Scope of Contract

A contract is a legally enforceable agreement. It comes into being when a proposal made by one party is accepted by another, resulting in a promise. Contracts form the basis of trade, business, and every other transaction in society for the performance of agreed obligations. The Contract Act, 1872, has an application throughout Bangladesh on the creation, validity, and enforcement of contracts.

Essential Elements of a Valid Contract

Sections 10 and 11 of the Contract Act, 1872 state that for a contract to be valid, the following are the essential elements of it:

- ❖ **Agreement:** There has to be an offer from one party and acceptance of the same by another. The agreement needs to be upon lawful consideration and with a legal object.
- ❖ **Free Consent:** Consent of parties must be free of Coercion, Undue Influence, Fraud, Misrepresentation, or Mistake - Sections 15-22.
- ❖ **Competency of Parties:** The parties must be competent, i.e., of majority age (above 18), of sound mind - Sec 12, and not legally disqualified.
- ❖ **Lawful Consideration:** The consideration involved in the contract should not be unlawful, illegal, immoral, or opposed to public policy.
- ❖ **Legal Object:** The object of the contract should be lawful.
- ❖ **Not Declared Void:** Agreement should not have been declared expressly void by the law.

Classification of Contracts

Contracts can be categorized based on their enforceability and nature:

- ❖ **Valid Contract:** Legally enforceable agreements that fulfill all legal requirements.
- ❖ **Voidable Contract:** Agreements enforceable at the option of one or more parties but not the others (Section 2(i)).
- ❖ **Void Contract:** Initially valid agreements that later lose enforceability due to certain reasons, such as illegality or impossibility (Section 2(j)).
- ❖ **Void Agreement:** Agreements that cannot be enforced by law. Section 2(g). Examples include agreements in restraint of marriage, trade, or legal proceedings.

- ❖ **Illegal Agreement:** Agreements which the law does not permit to be entered into. Usually, such agreements are void because of their illegality.

Capacity to Enter into a Contract

To have a valid contract, parties must be competent. According to Section 11:

- I. A person should have attained majority (above 18 years).
- II. The person should be of sound mind.
- III. The person is not incapable of entering into a contract by operation of law.

Nature or Effect of Minor's Contract

Minor below 18 years of age are considered not capable of contracting. The courts held, in the case of *Mohori Bibee v. Dharmodas Ghose* that the agreement of a minor is void ab initio, meaning from its very beginning.

Validity, Discharge and Performance of Contracts

Free Consent

Consent should be free from the following ingredients:

- I. **Coercion (Section 15):** Compelling someone to act against their will.
- II. **Undue Influence (Section 16):** Exploiting a position of power.
- III. **Fraud (Section 17):** Intentional deception to induce another party.
- IV. **Misrepresentation (Section 18):** Unintentional false statements leading to an agreement.
- V. **Mistake (Sections 20-22):** Errors in understanding essential facts of the agreement.

Discharge of Contracts

Discharge signifies the end of obligations under a contract. This can occur in various ways:

- I. **Performance:** Completion of contractual obligations by all parties.
- II. **Lapse of Time:** Contracts not performed within the prescribed time under the Limitation Act, 1908, are discharged.
- III. **Operation of Law:** Includes cases of death, insolvency, or merger of rights.
- IV. **Breach:** Non-performance of the contract by one party.
- V. **Impossibility:** Contracts that are impossible to perform are void.

Breach of Contract and Remedies

There is a breach when one of the parties fails to perform the contract. The following are remedies in case of breach of contract:

- I. **Recession of Contract:** The party injured may rescind the contract and refuse further obligations.
- II. **Damages:** Damages on account of loss resulting from the breach, Sec. 73.
- III. **Specific Performance:** "In certain cases, the courts will issue an order compelling performance of the contractual duty by the defaulting party".
- IV. **Injunction:** An order forbidding a party to perform an act which he has promised not to perform.

Discussion

Contract law is important to ensure accountability and fairness in agreements and thus builds trust among parties in different transactions. The essentials like free consent and competency ensure that the contract is entered into voluntarily and with sound judgment. Further, the provisions for discharge and remedies underline mutual adherence and legal recourse in case of disputes. The classification of contracts as valid, voidable, and void underlines the nuances of enforceability that protect against unjust agreements. The remedies for breach-which include damages and specific performance-foster restorative justice and deter nonperformance. Overall, the framework promotes efficiency, fairness, and economic stability in contractual dealings.

Conclusion

A contract serves as the spine for every legally recognized transaction, proving a tool for mutual liability on all parties. With elaborate provisions, the Contract Act 1872 provides ample opportunities in the creation, enforcement, and dispute resolutions in contracts. By applying the tenets of this act, the parties can navigate themselves out of the legal burdens easily.